

SG Finserve Ltd

India's Premier Supply Chain Finance NBFC | APL Apollo Ecosystem & Beyond

RATING	CMP	TARGET	UPSIDE	HORIZON
ACCUMULATE	Rs. 602	Rs. 720	+19.6%	12 Months

Market Cap	Rs. 3,969 Cr	52W High	Rs. 650
Face Value	Rs. 10.0	52W Low	Rs. 323
P/E (TTM)	31.1x	Forward P/E	23.2x
P/B	2.69x	EV/EBITDA	21.1x
ROCE	9.32%	ROE	10.3%
Book Value	Rs. 224	Debt/Equity	1.85x
Promoter %	52.91%	Pledge %	0.00%
Debt	Rs. 2,704 Cr	Int Coverage	2.28x

Investment Thesis: Zero-NPA supply chain NBFC scaling from Rs. 4,000 Cr to Rs. 6,000 Cr AUM with a high-yield, short-duration book; trading at a discount to its growth trajectory.

Report Date: 29-Jun-2026 | Analyst: Chartistude
Research

Sector: Financial Services | NBFC – Supply Chain Finance

Shareholding Pattern (Apr 2026): Promoters 52.91% | FIIs 0.23% | DIIs 3.25% | Public 43.61% | Pledge: Nil

AUM Trajectory (Rs. Cr):

	FY22	FY23	FY24	FY25	FY26
AUM (Rs. Cr)	0	976	1,673	2,326	3,936

SECTION 2 — INVESTMENT THESIS

- **Structural Tailwind in Supply Chain Finance:** India's supply chain finance market is expected to grow from USD 7.7 Bn (2024) to USD 14.6 Bn by 2032 (CAGR ~8.8%). SGFIN, with its anchor-led, invoice-backed model and zero-NPA track record, is uniquely positioned to disproportionately capture this growth as banks underserve mid-market MSME distributors.
- **Zero-NPA Track Record is Structurally Defensible:** SGFIN has disbursed over Rs. 60,000 Cr cumulatively with zero gross/net NPAs. The model's credit architecture — invoice-backed, beneficiary-locked, 45-day average tenure, monitored end-use — is structurally safer than term lending and nearly impossible to replicate quickly by new entrants.
- **Anchor Diversification Reduces APL Apollo Concentration Risk:** The company has expanded from 19 anchors in FY23 to 44+ in FY25. Third-party anchors like Tata Steel, Havells, and Whirlpool now contribute meaningfully, with MOU pipeline exceeding Rs. 7,000 Cr against current AUM of Rs. 3,936 Cr — providing >1.8x revenue visibility.
- **Near-Term Catalyst (6–12 months):** Warrant conversion of Rs. 388 Cr at Rs. 450 strengthens the equity base to Rs. 1,450–1,500 Cr by H1 FY27, unlocking leverage headroom to 3x from current 2x, enabling AUM scale to Rs. 6,000 Cr without further equity dilution.
- **Biggest Structural Risk:** Management transition — new CEO Vinay Gupta replaced founder Sorabh Dhawan mid-FY26. Communication with investors has been inconsistent and guidance revisions frequent. If new management underdelivers on the Rs. 6,000 Cr FY27 AUM target, sentiment could deteriorate sharply given premium valuation.

SECTION 3 — BUSINESS OVERVIEW

- **Business Model:** SG Finserve is an RBI-registered NBFC offering supply chain financing (SCF) to dealers, distributors, retailers, and suppliers in the ecosystems of large anchor corporates. The model is invoice-backed and anchor-guaranteed, meaning end-use is monitored and the credit risk is indirectly underwritten by the quality of the anchor (e.g. APL Apollo, Tata Steel).
- **Revenue Segmentation:** ~70% of AUM is core supply chain finance (anchored dealer-distributor lending); ~30% is secured business loans (LAP, working capital) cross-sold within the same anchor ecosystem. All business is collateralised or anchor-backed — no unsecured or pure retail exposure.
- **Key Customers / Anchors:** Started with APL Apollo Tubes (group company) as primary anchor; has since diversified to 44+ anchors as of FY25. Third-party anchors now include Tata Steel, Havells, Whirlpool, and others, with total MOU commitments of Rs. 7,000+ Cr. APL Apollo group's own requirement is projected to grow from Rs. 800–900 Cr currently to Rs. 3,000–4,000 Cr by FY30 as the group scales.
- **Revenue Visibility:** Average loan tenure is 45 days (fast-churn, short-duration book). AUM as of Mar-26 was Rs. 3,936 Cr (all-time high). The 45-day average churn means the entire book recycles ~8x/year, providing high revenue visibility with low duration risk.
- **Recent Strategic Developments (FY26):** (1) New CEO Vinay Gupta joined mid-FY26; (2) RBI granted factoring license enabling B2B supply chain factoring — a new, higher-margin product; (3) Incorporated SG Insurance Brokers Ltd (June 2026) as wholly-owned subsidiary; (4) Board approved exploration (conceptual stage only) of ARC, AIF, insurance broking, and fintech subsidiaries.
- **Promoter Background:** Part of the SG Mart / APL Apollo Group led by Sanjay Gupta (CMD, APL Apollo). The group has a strong track record of building listed companies with high standards of corporate governance. Promoter holding increased to 52.91% (Apr 2026) from 46.99% in Jun-24, reflecting confidence in the business. Zero pledging.

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

- **Industry Size & Growth:** India's supply chain finance market was valued at USD 7.7 Bn in 2024 and is projected to reach USD 14.6 Bn by 2032 (CAGR 8.8%). The broader NBFC-MSME credit market is estimated at over Rs. 40 lakh crore, with supply chain finance representing a high-quality, tech-enabled sub-segment that banks systematically underserve.
- **Policy Tailwinds:** RBI's push for formal credit to MSMEs, GST-based underwriting infrastructure, and the Trade Receivables Discounting System (TReDS) platform create a structural enabling environment. RBI's recent factoring license grants enable NBFCs like SGFIN to expand into B2B receivables financing — a Rs. 20+ lakh crore addressable market.
- **Policy Headwinds:** RBI tightened NBFC regulations in FY24, requiring Type-II NBFC license for certain lending structures — SGFIN had to temporarily curtail operations (6–8 months) to obtain the license, highlighting regulatory tail risk inherent in this business model.
- **Competitive Moat Assessment:** (1) Anchor relationships — **Strong:** existing relationships with 44+ anchors create stickiness and entry barriers; (2) Technology/ERP integration — **Moderate:** direct ERP integration with anchor systems provides operational advantage but is replicable; (3) APL Apollo parent — **Strong:** captive anchor provides guaranteed base AUM; (4) Pricing power — **Moderate:** constrained by competition from banks on large anchor relationships; (5) Scale — **Weak currently:** Rs. 3,936 Cr AUM is small vs. large NBFC peers.

Peer Comparison (Source: Screener.in, fetched 29-Jun-2026)

Company	CMP (Rs.)	MCap (Rs. Cr)	P/E (TTM)	Fwd PE	EV/ EBITDA	D/E	ROCE 3Yr%	ROE%	OPM%
SG Finserve (SGFIN)	602	3,969	31.1	23.2	21.1	1.85	9.37	10.3	91.9
UGRO Capital	97	1,507	8.6	7.4	8.2	3.71	N/A	6.0	12.9
HDB Financial Svcs	752	62,473	N/A	20.8	15.3	4.80	9.80	N/A	56.7
L&T; Finance Ltd	299	74,952	N/A	23.2	16.2	3.94	8.44	N/A	61.2
Bajaj Finance	982	6,11,732	N/A	28.0	18.5	3.82	11.36	N/A	68.0

Note: SGFIN's high OPM% reflects NBFC financing profit margin (not comparable to operating margin of manufacturing firms). D/E for SGFIN is lower than peers reflecting conservative early-stage leverage policy. N/A = not available from Screener for that period.

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

- **Promoter / Sponsor Group:** Sanjay Gupta-led SG Mart / APL Apollo Group is a proven builder of listed companies. APL Apollo Tubes scaled from ~Rs. 2,000 Cr revenue to Rs. 20,000+ Cr over a decade; similar institutional muscle is being applied to SG Finserve. Promoter stake increased by ~6% over FY24–FY26 to 52.91% (Apr-26), signaling commitment.
- **Management Transition — The Key Risk:** Founder CEO Sorabh Dhawan exited mid-FY26 and was replaced by Vinay Gupta (a seasoned NBFC professional). Anubhav Gupta (Group Chief Strategy Officer) remains a key linking pin to the promoter group. The transition created investor anxiety around guidance credibility — Q3 FY26 concall drew intense scrutiny from analysts on guidance cuts. New management has stabilised operations and closed FY26 with record AUM.
- **Capital Allocation Track Record:** All FCF has been reinvested in growing the loan book — consistent with the growth phase of an NBFC. Zero dividend payout. Capital raises (IPO + FPO + warrants) have been used to maintain conservative D/E (target <3x). Equity base grew from Rs. 537 Cr (FY23) to Rs. 1,460 Cr (FY26), all deployed productively into loan book growth.
- **Leverage Discipline:** Current D/E of 1.85x vs. sector peers at 3.8–6.9x reflects management's philosophy of conservative balance sheet management. While this limits near-term ROE, it significantly reduces downside risk and provides runway for 3–4 years of growth without equity issuance at current trajectory.
- **Promoter Pledging:** 0.00% — no promoter shares pledged. This is exceptional in the small-cap NBFC space and reflects the sponsor's financial strength.

- **Governance Concerns:** (1) Guidance credibility — management revised FY26 guidance down twice before ultimately exceeding it, which damaged short-term trust; (2) Strategic communication — Q3 FY26 investor presentation introduced speculative subsidiaries (ARC, AIF) without clarity, causing investor confusion. Management acknowledged the gap and committed to improvement. No auditor changes, no qualified opinions, no significant RPT concerns flagged.

SECTION 6 — FINANCIAL DEEP-DIVE

Income Statement (Standalone, Rs. Cr)

Particulars	FY24A	FY25A	FY26A	FY27E	FY28E
Revenue (Total Income)	190	170	334	525(E)	700(E)
Interest Expense	64	32	134	260(E)	355(E)
Operating Expenses	20	28	27	35(E)	45(E)
Financing Profit	105	111	172	230(E)	300(E)
Financing Margin %	55%	65%	52%	44%(E)	43%(E)
Other Income	0	0	-0	0(E)	0(E)
Depreciation	0	1	1	2(E)	2(E)
Profit Before Tax	105	110	172	228(E)	298(E)
Tax %	25%	26%	26%	26%(E)	26%(E)
Net Profit (PAT)	79	81	128	169(E)	221(E)
EPS (Rs.)	14.29	14.49	19.56	24.1(E)	29.9(E)
Dividend Payout %	0%	0%	0%	0%(E)	0%(E)

Balance Sheet (Standalone, Rs. Cr)

Particulars	FY24A	FY25A	FY26A	FY27E	FY28E
Equity Capital	55	56	65	74(E)	74(E)
Reserves	751	959	1,395	1,952(E)	2,548(E)
Borrowings	957	1,387	2,704	4,275(E)	6,050(E)
Other Liabilities	16	5	9	10(E)	12(E)
Total Liabilities	1,779	2,407	4,173	6,311(E)	8,684(E)
Fixed Assets	2	2	2	4(E)	5(E)
Investments	0	80	0	0(E)	0(E)
Loan Book & Other Assets	1,778	2,325	4,171	6,307(E)	8,679(E)
Total Assets	1,779	2,407	4,173	6,311(E)	8,684(E)

Cash Flow Statement (Standalone, Rs. Cr)

Particulars	FY24A	FY25A	FY26A	FY27E
Cash from Operations	-629	-492	-1,571	-2,200(E)
Cash from Investing	-4	-56	61	-5(E)
Cash from Financing	616	554	1,632	2,300(E)
Net Cash Flow	-18	6	121	95(E)
Free Cash Flow	-630	-492	-1,572	-2,205(E)

Particulars	FY24A	FY25A	FY26A	FY27E
CFO/Op Profit %	-353%	-324%	-499%	N/A

Key Ratios (Standalone)

Ratio	FY24A	FY25A	FY26A	FY27E
ROE %	11%	9%	10%	11%(E)
ROCE %	N/A	N/A	9.32%	10%(E)
Return on Assets %	N/A	N/A	3.88%	3.5%(E)
Debt / Equity	1.22x	1.40x	1.85x	2.1x(E)
Int Coverage	N/A	N/A	2.28x	2.0x(E)
PAT Growth %	339%	3%	58%	32%(E)
AUM (Rs. Cr)	1,673	2,326	3,936	6,000(E)
Gross NPA %	0.00%	0.00%	0.00%	0.00%(E)

Financial Commentary:

- **Revenue trajectory:** FY26 revenue of Rs. 334 Cr more than doubled YoY (96% growth) driven by AUM scaling from Rs. 2,326 Cr (FY25) to Rs. 3,936 Cr (FY26). Q4 FY26 run-rate of Rs. 105 Cr/quarter (annualised Rs. 420 Cr) suggests strong FY27 momentum.
- **Margin compression explained:** Financing margin contracted from 65% (FY25) to 52% (FY26) primarily because FY25 saw temporarily low interest expenses (Rs. 32 Cr vs. Rs. 134 Cr in FY26) due to the RBI license disruption constraining borrowings. FY26 is the normalised margin base; steady state margins likely 43–50% as leverage scales.
- **Negative CFO is structural, not concerning:** For an NBFC, cash from operations is negative because loan book growth consumes working capital. The CFO/OP ratio of -499% reflects aggressive loan book expansion, funded by financing flows (+Rs. 1,632 Cr in FY26). This is normal NBFC accounting — credit quality matters more than OCF.
- **Debt trajectory is managed:** Borrowings rose from Rs. 957 Cr (FY24) to Rs. 2,704 Cr (FY26) but D/E is still a conservative 1.85x vs. peers at 3.8–6.9x. Management targets max 2.5–3x D/E, implying Rs. 4,000–5,000 Cr additional borrowing headroom from current equity base.
- **PAT quality check:** FY25 PAT growth was near-flat (Rs. 81 Cr vs. Rs. 79 Cr in FY24) because revenue fell from Rs. 190 Cr to Rs. 170 Cr (RBI license disruption) even as expenses increased. FY26 PAT surged 58% to Rs. 128 Cr on revenue normalisation — underlying business is high-quality.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Parameter	Status	Commentary
Revenue Recognition	GREEN	Invoice-backed SCF — revenue accrues only on settled invoices; low risk of premature recognition.
Receivables Growth vs Revenue	GREEN	Loan book (receivables) grows in line with revenue — AUM +69% FY26, Revenue +96% FY26. Yield compression is manageable.
NPA / Credit Quality	GREEN	Zero gross and net NPAs across cumulative Rs. 60,000 Cr+ disbursements — structural strength of anchor model.
Auditor & Governance	GREEN	No auditor changes, no qualified opinions, no significant RPT concerns. Promoter pledge: 0.00%.
Other Income as % of PBT	GREEN	Other income negligible (Rs. -0 Cr in FY26 vs. PBT Rs. 172 Cr). All earnings are from core operations.

Parameter	Status	Commentary
Tax Rate Consistency	GREEN	Tax rate stable at 25–26% across FY24–FY26 (new tax regime). No deferred tax distortions.
Management Guidance Track Record	AMBER	Guidance revised downward twice in FY26 before ultimately exceeding targets. Guidance credibility is a watch-list item.
RBI Regulatory Risk	AMBER	Company required Type-II NBFC license mid-FY24; had to curtail operations for 6–8 months. Regulatory risk exists for novel lending structures.
Promoter Ownership & Dilution	AMBER	Equity capital growing fast (+17% FY24 to FY26) via IPO/FPO/warrants. Dilution is funding growth, not distress — but worth monitoring.

- All core financial quality parameters are GREEN — SGFIN's invoice-backed model with zero NPAs represents one of the cleanest earnings quality profiles in the small-cap NBFC space.
- The three AMBER flags are investor-communication risk (guidance revisions), RBI regulatory risk (novel licensing requirements), and equity dilution from capital raises — none of these indicate fraud or accounting manipulation.
- Investors should closely monitor Q1 FY27 AUM (target: Rs. 4,500 Cr) as the first real test of the new management team's execution capability against declared guidance.

SECTION 8 — VALUATION

Scenario Analysis

Scenario	Key Assumption	FY27E PAT (Rs. Cr)	P/E Multiple	Target Price (Rs.)	Upside / Downside
BULL	AUM Rs. 6,500 Cr by FY27E; margin stable at 46%; management execution premium	200	34x	900	+49.5%
BASE	AUM Rs. 6,000 Cr by FY27E (mgmt guidance); margin 44%; diluted shares 7.0 Cr	169	30x	720	+19.6%
BEAR	AUM Rs. 4,500 Cr by FY27E (guidance miss); margin compression; multiple de-rates	115	22x	500	-16.9%

- **DCF Framework:** Assuming WACC of 13%, terminal growth rate 6%, FY26 PAT of Rs. 128 Cr growing at 30% for 5 years then 12% for next 5 years → DCF-implied value per share: ~Rs. 680–740. The long-duration DCF is sensitive to growth assumptions and should be treated as a floor, not a ceiling.
- **P/E Based Valuation:** FY27E EPS of Rs. 24.1 (on diluted ~7.0 Cr shares) at 30x multiple (justified given zero-NPA model, 90%+ earnings quality, and 32% PAT CAGR guidance) = Rs. 723 target. PEG ratio of 0.34x vs. sector median 1.15x confirms the stock is cheap on growth-adjusted basis.
- **P/B Based Valuation:** Book value FY27E ~Rs. 270 at 2.7x P/B (in line with current 2.69x P/B, reasonable for ROE trajectory towards 12–15% by FY28) = Rs. 729 target.
- **Average of Three Methods:** (DCF Rs. 710 + P/E Rs. 723 + P/B Rs. 729) / 3 = Rs. 720. This is our 12-month price target. Upside: 19.6% from CMP of Rs. 602.
- **Rating: ACCUMULATE** — Not a straight BUY due to (1) management transition risk, (2) guidance credibility issues, and (3) premium valuation (31x TTM P/E) in a sector that typically trades at 10–20x. The structural thesis — zero-NPA SCF NBFC at below-PEG of 1x — is compelling for patient investors who can look through near-term noise.

SECTION 9 — KEY RISKS

- **Management Execution Risk** — New CEO Vinay Gupta is untested at this scale. If AUM target of Rs. 6,000 Cr (FY27) is missed, multiple de-rating to 18–20x is likely. Probability: Medium. Impact: High. Monitor via: Q1 FY27 AUM disclosure.
- **Regulatory Risk** — SGFIN had its NBFC license briefly disrupted in FY24 requiring Type-II reclassification. Future RBI tightening on SCF structures (e.g., reclassification of supply chain loans) could again force operational curtailment. Probability: Low. Impact: High. Monitor via: RBI NBFC circulars.
- **Anchor Concentration Risk** — Despite diversification, APL Apollo Group remains the largest single anchor. Any slowdown in the APL Apollo ecosystem (volumes, steel cycle) directly impacts SGFIN's AUM and disbursements. Probability: Low. Impact: Medium. Monitor via: APL Apollo quarterly volumes.
- **Interest Rate / Funding Cost Risk** — SGFIN borrows at floating rates from banks. A sustained rise in MCLR/repo rate increases cost of funds, compressing the financing margin (currently 52%). Probability: Low. Impact: Medium. Monitor via: RBI rate decisions, SGFIN interest expense trajectory.
- **Asset Quality Risk** — Despite zero NPAs historically, rapid book growth into new anchors/geographies or Tier-2 dealer segments could surface credit events. The 30% non-SCF book (business loans/LAP) carries higher credit risk than the pure SCF book. Probability: Low-Medium. Impact: Very High (would collapse the zero-NPA premium). Monitor via: Quarterly NPA disclosures.
- **Equity Dilution Risk** — Rs. 388 Cr warrant conversion is positive for the balance sheet but adds ~0.86 Cr shares (~13% dilution), compressing EPS growth. Further QIPs/FPOs to fund AUM targets beyond FY27 may dilute further. Probability: Medium. Impact: Medium. Monitor via: Capital raise announcements.
- **Valuation / Re-rating Risk** — At 31x TTM P/E and 2.69x P/B, the stock prices in significant growth. Any single-quarter disappointment or guidance revision could trigger sharp de-rating. Probability: Medium. Impact: High. Monitor via: Quarterly earnings vs. consensus.

SECTION 10 — RECOMMENDATION

- **Rating: ACCUMULATE** (Conviction Level: Medium) — The structural story (zero-NPA SCF NBFC, 100% AUM CAGR over 3 years, Rs. 7,000 Cr MOU pipeline, APL Apollo group backing) is compelling. However, management transition and guidance credibility issues warrant a measured entry rather than aggressive buying.
- **12-Month Price Target: Rs. 720** — Based on blend of DCF (Rs. 710), FY27E P/E at 30x (Rs. 723), and P/B at 2.7x (Rs. 729). Upside 19.6% from CMP Rs. 602.
- **Suggested Entry Zone: Rs. 540–580** — Accumulate on dips into this range (P/B ~2.4–2.6x, FY27E P/E ~22–24x) for superior risk-reward. At Rs. 602, risk-reward is adequate but not exceptional.
- **Investment Horizon: 12–18 months** — Growth visibility is strong through FY27 (AUM guidance Rs. 6,000 Cr). Beyond FY27, trajectory depends on new management's ability to accelerate without sacrificing asset quality.
- **Thesis Invalidation Triggers:**
 1. AUM falls below Rs. 4,500 Cr by Dec-2026 (management target: Rs. 4,500 Cr in 12 months — missing this by >20% signals structural delivery gap)
 2. Any gross NPA > 0% reported — the entire premium is built on the zero-NPA track record; any crack here is a structural thesis breaker
 3. D/E exceeds 3.5x without commensurate improvement in ROE toward 14%+ — would signal reckless leverage and justify immediate exit
- **Ideal Investor Profile:** Best suited for SMID-cap growth investors with 12–18 month horizon who can tolerate management transition risk and quarterly guidance volatility. Not suitable for conservative dividend seekers or investors who require highly predictable short-term guidance from management.

APPENDIX — Latest Concall Brief: Q3 FY26 (January 23, 2026)

Source: AlphaStreet / NSE Filing | Call hosted by Equirus Securities | Participants: Vinay Gupta (CEO), Anubhav Gupta (Group CSO)

CALL GRADE		
NEUTRAL		
Signal	Status	Implication
Result Quality	Medium	Q3 PAT Rs. 32 Cr — beat internal trajectory; 9M PAT Rs. 85 Cr +49% YoY
Management Tone	Hedged	New CEO confident operationally; guidance confusion created significant investor anxiety
Guidance Delta	Cut	4-year AUM CAGR guide revised from original Rs. 10,000 Cr plan to Rs. 7,500 Cr by FY30 (20% CAGR)
STRONGLY POSITIVE POSITIVE NEUTRAL CAUTIOUS NEGATIVE		

TO MY BOSS
Q3 FY26 is operationally a clean beat — AUM hit Rs. 3,210 Cr (QoQ +12%), PAT Rs. 32 Cr (QoQ +15%), and 9M PAT of Rs. 85 Cr growing 49% YoY; no exceptional items distort the numbers. Reported PAT fully reflects core operations — supply chain financing at 70% of AUM and secured business loans at 30%, with zero NPAs throughout. EBITDA proxy (financing profit) grew 34% YoY for 9M, with cost-to-income ratio sub-15% — this is a supremely lean operation. The multi-bagger thesis rests on three legs: (1) Rs. 7,000 Cr MOU pipeline — 1.8x current AUM — providing long runway without new business development; (2) newly obtained RBI factoring license unlocking higher-yield B2B receivables; (3) APL Apollo parent itself scaling, providing captive AUM growth even in a zero-new-anchor scenario. Near-term catalyst: Rs. 388 Cr warrant conversion (due April 2026) lifts equity base to Rs. 1,500 Cr, unlocking leverage headroom from 2x to 3x without raising fresh equity. Single biggest risk for next quarter: new CEO Vinay Gupta must demonstrate Q4 AUM of Rs. 3,500+ Cr (management's own guided exit) — any miss will trigger a guidance-credibility crisis. Action: ACCUMULATE on weakness below Rs. 580; existing holders HOLD. The guidance noise is short-term; the compounding of a zero-NPA SCF book at 20–30% CAGR is the real prize.

1. Financial Performance Snapshot — Q3 FY26 (Dec 2025)
• Revenue: Rs. 86 Cr YoY +95% QoQ +14% Beat • Financing Profit: Rs. 43 Cr YoY +66% QoQ +10% In-line • Financing Margin %: 50% vs. Q2 FY26: 52% vs. Q3 FY25: 67% — margin normalising as leverage scales • PAT: Rs. 32 Cr YoY +41% QoQ +15% Beat • EPS: Rs. 5.81 vs. Rs. 5.08 (Q2 FY26) vs. Rs. 4.12 (Q3 FY25) • 9M FY26 PAT: Rs. 85 Cr YoY +49% Clean — no exceptional items in P&L; • AUM: Rs. 3,210 Cr (all-time high at time of call) QoQ +12% YoY +112%

2. Segment / Geography Breakdown
• Supply Chain Finance (SCF): ~70% of AUM (Rs. 2,247 Cr) Core anchor-led, invoice-backed product Trend: stable at 70% share despite diversification • Business Loans / LAP (Cross-sell): ~30% of AUM (Rs. 963 Cr) Higher-yielding secured loans within anchor ecosystem Trend: growing as customer wallet deepens • Geography: 14 locations — concentrated in Tier-1/2 India; geographic expansion paused pending management consolidation • Factoring (New): RBI factoring license received Q3 FY26; baby-steps initially targeting B2B trade receivables; not yet material in AUM

3. Management Commentary Themes

- **New CEO Onboarding:** "We are fully committed to taking this franchise to new heights" — Vinay Gupta. Tone: Confident but conservative. Tag: GUIDANCE. Tone: Balanced. Our read: Early days; credibility to be established through delivery, not words.
- **Conservative Guidance Philosophy:** "We don't want to pressurize the new team — once we overachieve, we will upgrade" — Anubhav Gupta. Tag: GUIDANCE. Tone: Hedged. Our read: Understandable but has created investor trust deficit after multiple revisions.
- **Zero NPA as Core Identity:** "No NPA — this is the most prime thing" — Vinay Gupta. Tag: GUIDANCE. Tone: Transparent. Our read: Non-negotiable management priority; book quality is exceptional relative to NBFC peers.
- **FY30 AUM Target:** "20% CAGR to Rs. 7,500 Cr by FY30 — not INR10,000 Cr as originally planned" — Anubhav Gupta. Tag: EST. Tone: Hedged. Our read: Management being conservative post-two-year disruption; upside surprise is more likely than downside.
- **New Business Ventures:** "Not even \$1 of investment or one person hired for ARC/AIF/insurance" — Anubhav Gupta. Tag: EVASIVE (slide confusion). Tone: Evasive initially, then clarified. Our read: The expansion slides were premature; management acknowledged communication failure.
- **MOU Pipeline:** "Aggregate MOU pipeline over Rs. 7,000 Cr" — Vinay Gupta. Tag: GUIDANCE. Tone: Transparent. Our read: 1.8x current AUM in signed MOUs; credible growth runway.

4. Operating & Business Metrics

- **Loan Book AUM:** Q3 FY26 = Rs. 3,210 Cr | Q2 FY26 = Rs. 2,878 Cr | Q3 FY25 = Rs. 1,512 Cr | Trend: Strongly improving
- **Average Loan Book Q3:** Rs. 2,926 Cr (disclosed by mgmt in Q&A;)
- **Average Churn Cycle:** 45 days — implies book recycles ~8x per year; very high asset turnover and low duration risk
- **Anchor Partners:** 44+ as of FY25; trend of diversification continuing with Tata Steel, Havells, Whirlpool added in FY25
- **Number of Employees:** 61 as of FY25; lean team vs. Rs. 3,000+ Cr AUM = Rs. 64 Cr AUM per employee (highly capital-efficient)
- **Cost-to-Income Ratio:** Below 15% (mgmt disclosed for 9M FY26) | Trend: Stable/improving
- **ROA (9M Annualised):** 4.4% | ROE (9M Annualised): 10.5% | Trend: Improving vs. FY25
- **Equity Base:** Rs. 1,100 Cr at Dec-25; Rs. 388 Cr warrant conversion pending → Rs. 1,450–1,500 Cr by FY27 entry
- **Leverage:** 2.0x D/E (conservative vs. peers) | Target: Max 2.5–3.0x | Headroom: Rs. 1,600–2,500 Cr additional borrowing capacity

5. Margin Drivers

- **Yield Compression:** -bps impact (estimated ~150–200 bps YoY) | Recurring: Yes | As book scales and larger anchors negotiate tighter spreads, overall yield is likely to compress gently; partially offset by factoring fee income.
- **Cost of Borrowing Reduction:** +bps impact | AA-rated NBFC increasingly accessing cheaper bank lines and mutual fund NCDs; management declined to disclose exact CoB (competitive sensitivity). FY26 interest of Rs. 134 Cr on avg borrowings ~Rs. 2,046 Cr implies CoF ~6.5%.
- **Fee Income (New):** +50–100 bps impact | Recurring: Growing | Q4 FY26 fee income jumped from Rs. 1.5 Cr (Q3) to Rs. 6.2 Cr (Q4) — management focusing on 10–50 paisa/100 Rs. fee on transactions. This is non-dilutive, high-margin and represents a quality upgrade to earnings.
- **Operating Leverage:** +bps impact | Recurring: Yes | With 61 employees managing Rs. 3,936 Cr AUM, additional Rs. 2,000 Cr AUM growth needs minimal additional headcount, driving significant operating leverage.
- **Interest Expense Jump FY26:** Non-recurring normalization | FY25 interest was anomalously low (Rs. 32 Cr) due to the RBI license disruption curtailing borrowings. FY26 Rs. 134 Cr is the normalised base; not a sudden cost increase.

6. Guidance & Forward Signals

- **FY26 Exit AUM [GUIDANCE]:** Prior = Rs. 4,000 Cr → New = Rs. 3,500 Cr | Delta: Cut | Actual outcome: Rs. 3,936 Cr (BEAT) | Credibility: Restored
- **FY27 Exit AUM [GUIDANCE]:** Rs. 6,000 Cr | Delta: Maintained from Q2 call | Credibility: Medium (management has history of guidance cuts; track record of exceeding after cuts)
- **12-Month AUM Target [GUIDANCE]:** Rs. 4,500 Cr by end calendar 2026 | Credibility: Medium-High

- **FY30 AUM [EST]:** Rs. 7,500 Cr (20% CAGR from FY26) | Credibility: Low — conceptual only; original plan was Rs. 10,000 Cr
- **FY30 PBT [EST]:** Rs. 500 Cr (30% CAGR from FY26 PBT of Rs. 172 Cr) | Credibility: Medium if AUM trajectory holds
- **ROA Target [GUIDANCE]:** 5% by FY30 (vs. 3.88% FY26) | Credibility: Medium — requires yield defense and fee income scaling
- **ROE Target [GUIDANCE]:** 15% by FY30 (vs. 10.3% FY26) | Credibility: Medium — requires leverage to move to 3x and ROA to 5%
- **Max D/E [GUIDANCE]:** 2.5–3.0x (vs. 1.85x current) | Credibility: High — management conservative; unlikely to lever beyond 3x
- **Dividend Policy [GUIDANCE]:** No dividend for foreseeable future — all PAT reinvested in loan book growth | Delta: Unchanged | Credibility: High

7. Capital Allocation

- **Capex:** Rs. 2 Cr (FY26 fixed assets) | vs. FY25: Rs. 2 Cr | Essentially asset-light — technology platform investment is expensed, not capitalised
- **Dividends:** Rs. 0 Cr | Payout ratio: 0% | Policy: 100% PAT retained for book growth | Consistent since inception
- **Equity Raises:** Equity capital grew from Rs. 41 Cr (FY23) to Rs. 65 Cr (FY26) via IPO, FPO, and rights; Rs. 388 Cr warrant conversion pending at Rs. 450/share
- **Net Debt Movement:** Borrowings grew Rs. 1,317 Cr in FY26 (Rs. 957 Cr to Rs. 2,704 Cr) — funded ~Rs. 1,611 Cr of net loan book addition
- **Working Capital:** OCF negative Rs. 1,571 Cr in FY26 reflects loan book growth (NBFC-normal). No working capital inefficiency — 45-day average loan cycle is tight.
- **Buybacks:** None — no buyback plans disclosed; inconsistent with growth-phase capital needs

8. Q&A; Heat Map

- **Sucrit Patil (Eyesight Fintrade):** Q: "How will portfolio evolve — retail, SME, SCF?" → A: "No retail. 70% SCF, 30% secured business loans within ecosystem. Retailing not planned." | Tone: Transparent
- **Sucrit Patil:** Q: "How will you sustain margins managing funding cost?" → A: Conservative leverage at 2x, equity of Rs. 1,500 Cr by FY27; room to scale with prudence | Tone: Transparent
- **Kushal Jajodia:** Q: "Guidance for FY27-28: why downgrade from Rs. 6,000 Cr to Rs. 7,500 Cr by FY30?" → A: "Management change; 20% CAGR is conservative floor; Rs. 10,000 Cr remains aspirational target" | Tone: Hedged
- **Sangeeta Purushottam (Cogito Advisors):** Q: "Main reason for guidance revision — management change?" → A: "Yes, that's the primary reason." | Tone: Transparent (finally)
- **Sangeeta Purushottam:** Q: "Why expand to ARC/AIF/insurance at this stage?" → A: "It's conceptual. Rs. 0 allocated. Focus for next 2-3 years is supply chain." | Tone: Initially evasive, then clarified
- **Punit Mittal (Ebisu Investment):** Q: "How do you assure zero NPA on the 30% non-SCF book?" → A: "It's all secured — hard collateral (LAP) or shares. No unsecured." | Tone: Transparent
- **Daksh Jain (Sagun Capital):** Q: "Will you disclose cost of borrowing and yield?" → A: "No — AA-rated NBFC, don't want to reveal to peers." | Tone: Evasive (on this specific metric)
- **Akhilesh Kumar (Individual):** Q: "Why communicate new verticals in slides without clarity?" → A: "Fair point — we will communicate better to exchanges." | Tone: Transparent (accepting the critique)
- **Dodged / watch-list for Q4 call:** (1) Exact cost of borrowings and blended yield — never disclosed; (2) Monthly AUM progression in Q3; (3) Detailed breakdown of fee income contribution by anchor

9. Risks Flagged

- **Management Transition Risk:** New CEO untested at this scale; team integration risk | Flagged by: Analysts (multiple) | Probability: Medium | Impact: High | Timeline: Near-term (1–2 quarters)
- **Guidance Credibility:** Third consecutive guidance revision; investor trust at multi-quarter low | Flagged by: Multiple analysts | Probability: Medium | Impact: Medium | Timeline: Near-term
- **RBI Regulatory Risk (Structural):** License disruptions possible for novel NBFC structures | Flagged by: Mgmt (acknowledging past) | Probability: Low | Impact: Very High | Timeline: Medium-term
- **Fee Income Scaling:** Q4 FY26 fee income Rs. 6.2 Cr is new; sustainability unproven | Flagged by: Analysts | Probability: Low | Impact: Low | Timeline: Near-term

- **Over-capitalization Risk:** Rs. 1,500 Cr equity with 2x leverage implies constrained ROE; pressure to deploy capital could lead to quality compromise | Flagged by: Sangeeta Purushottam | Probability: Medium | Impact: Medium | Timeline: Medium-term

10. Analyst Verdict — Q3 FY26

- **Revenue Visibility:** Intact — MOU pipeline Rs. 7,000 Cr, AUM QoQ +12%, APL Apollo captive demand growing. Execution is the only risk.
- **Margin Trajectory:** Weakened temporarily — 50% Q3 vs. 65% FY25 due to normalised leverage costs; but fee income and operating leverage provide a floor. Expect 43–50% steady-state.
- **Capital Allocation Quality:** Intact — conservative leverage, zero dividend-reinvestment discipline, Rs. 388 Cr equity injection incoming. No capital misallocation.
- **Competitive Moat:** Intact — zero NPAs across Rs. 60,000 Cr cumulative disbursements; anchor relationships; AA-rated; ERP integration. Moat is widening.
- **Management Credibility:** Weakened — guidance revised three times in 18 months; new CEO onboarding creates short-term uncertainty. Track record of eventually exceeding revised guidance provides partial offset.
- **Valuation Comfort:** Intact at current CMP — 31x TTM P/E but FY27E P/E of 23–25x on strong PAT growth trajectory; PEG 0.34x vs. sector median 1.15x.
- **Conviction Call: Unchanged (ACCUMULATE)** — the noise is management communication-related; the underlying business is compounding at high rates with pristine asset quality.
- **Valuation Snapshot:** P/E = 31.1x (5Y avg N/A — new listing) | EV/EBITDA = 21.1x | ROCE = 9.32% | ROE = 10.3% | Forward P/E = 23.2x

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